

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
BBA PROGRAMME
SEMESTER – V – UNIVERSITY EXAMINATION, MARCH 2018
BM321 FINANCIAL MANAGEMENT-2

Date: 28/03/2018, Wednesday

Time: 10.00 AM to 10.30 AM

Total Marks: 15

Student's ID No.									
Student's Name: _____									
Student's Sign : _____									
Supervisor's Name : _____									
Supervisor's Sign: _____									

Important Instructions:

- All questions are compulsory.
- This is a closed book examination.
- There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions wherein Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.
- Section – I should be answered in the given question paper and Section – II should be answered in a separate answer book.
- Maximum time allotted for Section – I is 30 minutes. Answer Book for Section – II will be given when the Question Paper for Section – I is returned. However, candidates who complete Section – I earlier than 30 minutes, can collect Answer Book for Section – II immediately after handing over Section – I question paper.
- Figures on the right indicate marks for each question.

SECTION – I

Q.1 Objective Type Questions:

A) Match the following: (i – vi)

15

06

Q. No.:		Probable Answer Keys		Write Your Answer Here
(i)	Long Position	a)	Spot rate	(i) -
(ii)	Short Position	b)	Difference between spot & future	(ii) –
(iii)	Customized contracts	c)	Interest cost	(iii) –
(iv)	Standardized contracts	d)	Forward contract	(iv) –
(v)	Basis	e)	Roll over	(v) -
(vi)	Cost of carry	f)	Seller of future contract	(vi) -
		g)	Expiry date of future contract	
		h)	Buyer of future contract	
		i)	Future contract	

B) Multiple-Choice Questions (vii – ix) (Note: Encircle the correct answer) 03

- vii.** When coupon rate of the of the bond is lesser than required yield then value of the bond is at
a) Par
b) Discount
c) Premium
d) None of above
- viii.** To increase a given present value, the discount rate should be adjusted
a) Upwards
b) Downwards
c) Any one of above
d) None of above
- ix.** What is the doubling period of rupee 100000 if interest rate is 9%? (Apply rule of 72).
a) 8 Years
b) 9 Years
c) 10 Years
d) 11 Years

C) Fill-in the Blanks (x – xii) You may choose from the following answers: 03

Internal rate of return	Forwards	Call Options	Put Option	Discount rate	Futures
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- x.** _____ is the interest rate at which the net present value of all the cash flows (both positive and negative) from a project or investment equal zero.
- xi.** A _____ contract is an agreement between two parties to buy or sell an asset at a certain time in the future at a certain price. It is also a customized contact.
- xii.** _____a call option is an agreement that gives an investor the right, but not the obligation, to buy a stock.

D) True or False (xiii – xv) (Note: Encircle the correct answer) 03

- xiii.** Commercial paper offers a higher yield than Treasury securities of the same maturity. (True) or (False)
- xiv.** The par value of a firm and the market value of a firm are generally identical. (True) or (False)
- xv.** Price of the bond moves towards its Par value as maturity nears. (True) or (False)

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SEMESTER – V – UNIVERSITY EXAMINATION, MARCH 2018

BM321 FINANCIAL MANAGEMENT-2

Date: 28/03/2018, Wednesday

Time: 10.30 AM to 1.00 PM

Total Marks: 55

Note: - (i) All questions are compulsory.

(ii) This is a closed book examination.

(iii) There are two sections in the question paper. **Section – I** contains Q. No.: 1 of 15 marks and **Section – II** contains total five questions where in Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.

(iv) **Section – I** should be answered in the given question paper and **Section – II** should be answered in a separate answer book.

(v) Maximum time allotted for **Section – II** is 150 minutes.

(vi) Figures on the right indicate marks for each question.

SECTION – II

Q.2 Briefly discuss the roles and functions of different financial regulatory bodies in India. (Any Two) **10**

OR

Q.2 What is cost of capital? How to calculate the cost of equity cost of debt and weighted average cost of capital? **10**

Q.3 (A) Ambuja Limited is considering a expansion project which is being evaluated by a firm that has a cost of capital of 12 per cent. Following cash flows are evaluated by firm, **05 10**

Initial investment	100,000
Year 1	30,000
Year 2	40,000
Year 3	40,000
Year 4	50,000

You are required to calculate Net present value of the project and take decision based on its outcome.

(B) Mr. Amit borrow Rs. 10,00,000 at an interest rate of 15 per cent and the loan is to be paid in 5 equal installments payable at the end of the next 5 years. Calculate the annual installment to be paid by Mr. Amit. **05**

Q.4 Compute the price of a bond; consider a 10 years, 12 per cent coupon bond with a par value of 1000. Assume the required yield on bond is 13 per cent. Explain what happens if required yield decreases to 12 percent. **10**

OR

Q.4 Assume that you are given the freedom to select the frequency of compounding on your fixed deposit offered by ABC bank. If annual rate of interest is 12% what will you choose? (Annual, semi annual, quarterly, monthly or daily compounding frequency) and why? Calculate effective interest rate for the same to justify your answer. **10**

- Q.5 (A)** Give any five points of differences or similarities between stock split and bonus issue. **05 10**
- (B)** How higher dividend payout hurts (benefits) shareholders when the return on invested capital is greater (lesser) than the cost of capital Explain with either Gordon model or Walter model. **05**
- Q.6 Case Study / Case-let:** **15**
- Anuja ltd. is a leading broking company based in Mumbai Mr. Amit is a dealer in equity market and working with Anuja ltd. He observes that share price of company ABC limited is overpriced at the spot rate of Rs. 1500. He feels the price of the share may fall in near future. The borrowing cost is 12%.
- (A)** Mr. Amit is bearish on the ABC ltd. what shall be his course of action? Shall he sell the future contract or buy the put option of company ABC ltd.? Why? Explain and justify the same. **07**
- (B)** Draw the payoff profile of ABC limited if Mr. Amit shorts futures. Give maximum profit and maximum loss may incurs. **08**